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05/11/26
04:59 PM
R2604009

BEFORE THE PUBLIC UTILITIES COMMISSION
OF THE STATE OF CALIFORNIA

Order Instituting Rulemaking on California Advanced Electric Rate Design.	Rulemaking 26-04-009 (Filed April 9, 2026)

COMMENTS OF THE VEHICLE-GRID INTEGRATION COUNCIL ON THE ORDER INSTITUTING RULEMAKING ON CALIFORNIA ADVANCED ELECTRIC RATE DESIGN

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Date: May 11, 2026

BEFORE THE PUBLIC UTILITIES COMMISSION
OF THE STATE OF CALIFORNIA

Order Instituting Rulemaking to Enhance Demand Response in California.	Rulemaking 25-09-004 (Filed September 18, 2025)

COMMENTS OF THE VEHICLE-GRID INTEGRATION COUNCIL ON THE ORDER INSTITUTING RULEMAKING ON CALIFORNIA ADVANCED ELECTRIC RATE DESIGN

In accordance with the Rules of Practice and Procedure of the California Public Utilities Commission ("Commission"), the Vehicle-Grid Integration Council ("VGIC") hereby submits these comments on the *Order Instituting Rulemaking on California Advanced Electric Rate Design* ("OIR"), issued on April 9, 2026.

I. <u>INTRODUCTION.</u>

VGIC appreciates the opportunity to provide comments on the OIR on California Advanced Electric Rate Design. California is entering a new phase of electrification in which customer-sited distributed energy resources ("DERs"), including electric vehicles ("EVs"), behind-the-meter batteries, and flexible loads, will play an increasingly important role on the electric grid. Ensuring that rate signals are shaping these resources to meet grid needs is critical for supporting grid reliability, affordability, and decarbonization goals.

Not only is it important to shape the consumption of electricity, but it is equally important to shape the increasing number of exports from these resources. Bidirectional EVs in particular represent a rapidly growing and largely untapped grid resource. The California Energy Commission ("CEC") has estimated that *EV battery capacity on California roads already exceeds the state's installed stationary storage capacity* and highlights bidirectional EV discharge as the single largest source of demand flexibility.[1] At the same time, the Commission's recent decision in Southern California Edison Company's ("SCE") General Rate Case ("GRC") Phase 2 proceeding highlighted the absence of a consistent statewide framework for export compensation and raised broader policy questions surrounding export rate design.[2] Currently, export compensation structures are fragmented across technologies, utility pilots, and individual proceedings, creating uncertainty for customers, the bidirectional EV industry, and utilities.

Without clear export compensation pathways, customers and technology providers are likely to optimize these resources entirely for private customer benefits, such as self-consumption and backup power, rather than for broader grid needs. This risks leaving substantial system value unrealized and undermining California's affordability and reliability objectives. Conversely, well-designed export compensation structures can help align customer behavior with system needs, encourage flexible load shaping, and unlock significant grid value from customer resources.

For these reasons, VGIC believes this proceeding presents an important opportunity for the Commission to establish a more holistic framework for export rate design in California and we recommend that the Commission expand this proceeding to consider the issues highlighted in our comments below.

II. <u>BACKGROUND & INTEREST IN PROCEEDING.</u>

VGIC is a 501(c)6 member-based advocacy group committed to advancing the role of EVs and vehicle-grid integration ("VGI") through policy development, education, outreach, and research. VGIC supports the transition to a decarbonized transportation and electric sector by

[1] California Energy Commission. *A Roadmap to Unlocking the Benefits of Bidirectional Charging.* March 2026. Page 2. https://efiling.energy.ca.gov/GetDocument.aspx?tn=268952&DocumentContentId=106145

[2] D.26-04-033 at 49.

ensuring the value from flexible EV charging and discharging is recognized and compensated to achieve a more reliable, affordable, and efficient electric grid. VGIC's members include automotive original equipment manufacturers ("OEMs"), EV service providers ("EVSPs"), DER aggregators, EV charging site developers, publicly owned electric utilities, and Community Choice Aggregators.

EVs can provide critical load flexibility in California and rate design has a huge impact on charging and dispatch behaviors for these vehicles. As EV adoption in the state grows, these large batteries on wheels have the potential to be a significant flexible load resource, shifting load between different times and providing energy to customers and the grid via bidirectional capabilities. VGIC, therefore, holds a direct interest in modifications to rate design affecting EVs. VGIC has been an active party in the previous rulemakings on advanced rate design, DERs, and demand flexibility such as R.22-07-005, R.21-06-017, and R.25-09-004.

III. COMMENTS ON THE PROPOSED SCOPE AND SCHEDULE - QUESTIONS FOR PARTY COMMENT.

3.3.1 Please provide comments on the list of preliminary issues. Are there any missing issues?

VGIC strongly believes that the **rate design for customer exports** should be discussed in this proceeding. There are now a wide variety of DERs that can provide exports to the grid, including bidirectional EVs, which are poised to be the largest distributed resource in the state of California. These resources can provide immense grid value, but currently there is no unified framework for export rate design. Instead, the Commission has addressed export rate proposals within the context of technology-specific programs, such as Net Energy Metering, or in utility-specific applications and pilots, such as San Diego Gas and Electric's ("SDG&E") Dynamic Export Rate Pilot and Pacific Gas and Electric's ("PG&E") Hourly Flex Pricing pilot. However, discussing export rate design in various venues has led to a fractured approach to exports in California and does not ensure that customer exports are being compensated appropriately across service territories and technology types.

Most recently, in Southern California Edison's ("SCE") General Rate Case Phase 2, Application ("A.") 24-03-019, the Commission denied an export rate designed for EVs, raising issues surrounding broader policymaking for exports in California. The Commission highlighted a desire to consider broader export ratemaking policy before adopting an EV export rate. In particular, the Commission highlighted three areas that need further evaluation, "(1) the accuracy and cost-effectiveness of [Avoided Cost Calculator ("ACC")]-based, versus real-time marginal-cost-based, credits in reflecting marginal costs; (2) customer preferences and behaviors regarding export rates; and (3) customer and broader distributed energy resource export flexibility under different compensation structures."[3] All of these issues are not unique to one utility or technology type and would be appropriately considered in this proceeding.

VGIC recommends that an additional issue on customer exports be added to the scope of this proceeding. Within this issue, the following questions should be addressed:

> "How should export compensation rates be structured to more accurately reflect the value of customer exports? What export compensation structures best incentivize customer flexibility, and how should rates be designed to maximize the grid benefits of distributed energy resource exports?"

This will allow the Commission to design holistic export rates and ensure that California is moving towards appropriate compensation to unlock load flexibility.

[3] D.26-04-033 at 49.

Additionally, many customers are adopting multiple resources that have the potential to export. While solar customers have traditionally used Net Energy Metering ("NEM") and Net Billing Tariffs ("NBT"), it can be complicated to add other exporting DERs, including bidirectional EV charging systems. Currently, this requires using the NEM or NBT Multiple Tariff provisions, which requires the addition of a Net Generation Output Meter ("NGOM"). NGOMs can vary in their cost, but NGOM installations cost often over $1,000-$2,000 for even small residential customers. This has posed a major barrier for the deployment of bidirectional charging systems. There are several available solutions to address this challenge, but no existing proceeding in which to consider them. This proceeding should discuss not only export rate design but also how to best implement these rates, including any relevant metering requirements for multi-DER sites.

3.3.2 Please provide comments on the schedule. Should this proceeding initially focus on only a portion of the preliminary issues? If so, which issues should be addressed first and why?

Within the proposed schedule, the Commission outlines a workshop that would be held in this proceeding in Q2 of 2026 but does not specify a topic for the workshop. VGIC recommends that issues surrounding export rate design be discussed at this workshop.

3.3.3 What changes or updates are needed to improve the income verification processes used for the Base Services Charge (formerly the income-graduated fixed charge), as adopted in D.24-05-028? Please refer to the Process Working Group Final Report, served to the R.22-07-005 Service List on January 15, 2026, and included as Attachment A to this OIR.

VGIC has no position on this topic at this time but may provide additional information in reply comments.

3.3.4 Are there any statutory interpretation issues of the Public Utilities Code that were not resolved in R.22-07-005 and should be considered in this proceeding regarding the Base Services Charge, reform of residential rates to better reflect cost causation,

or regarding the interplay between the California Alternate Rates for Energy (CARE) program and the Base Services Charge?

VGIC has no position on this topic at this time but may provide additional information in reply comments.

3.3.5 AB 205 amended Pub. Util. Code Section 739.9(c) to eliminate the requirement that the Commission "require each electrical corporation to offer default rates to residential customers with at least two usage tiers." Is it consistent with Public Utilities Code for the Commission to consider adopting default time-of-use rates that do not include usage tiers?

VGIC has no position on this topic at this time but may provide additional information in reply comments.

3.3.6 What rate designs and tariff service agreement terms have been adopted in other states or regions for data center customers? Have other states or regions created a separate customer class for data center customers? Should these rates be applicable in California? If so, how?

VGIC has no position on this topic at this time but may provide additional information in reply comments.

3.3.7 What rate designs have been adopted in other states or regions for other large load customers, including for industrial heat process producers and large commercial hydrogen generation, to support electrification, beneficial load growth and load flexibility? Should these rate designs be applicable in California? If so, how?

VGIC has no position on this topic at this time but may provide additional information in reply comments.

3.3.8 Should the Commission authorize the Proposal for Consultant Contract provided in Attachment B? Should any amendments to the proposal be made?

VGIC has no position on this topic at this time but may provide additional information in reply comments.

IV. CATEGORIZATION, AND NEED FOR HEARINGS.

VGIC supports the categorization of this proceeding and agrees with the preliminary determination that hearings may be necessary.

V. NOTICES.

Service of all notices and communications in this proceeding should be directed to the following VGIC representative:

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VI. CONCLUSION.

VGIC appreciates the opportunity to provide these comments on the OIR. We look forward to further collaboration with the Commission and stakeholders on this initiative.

Respectfully submitted,

/s/ Zach Woogen
Zach Woogen
Executive Director
VEHICLE-GRID INTEGRATION COUNCIL

Date: May 11, 2026